

HALF-YEAR ECONOMIC AND FISCAL UPDATE OF 2026

MINISTRY OF FINANCE AND ECONOMIC MANAGEMENT

Fiscal Responsibility

This Half-Year Economic and Fiscal Update has been prepared pursuant to Section 15, Part 1 of the Public Finance and Economic Management Act. The document has been prepared in compliance with the principles of responsible fiscal management as specified in the Act.



[Signature]
Hon. Johnny Koanapo Rasou (MP)
Minister of Finance and Economic Management
Ministry of Finance and Economic Management



[Signature]
Mr. Roan Lester SUNGHK
Director General
Ministry of Finance and Economic Management

OVERVIEW

The July 2026 World Economic Outlook (WEO) Update by the International Monetary Fund (IMF) forecasts that global growth will moderate to 3.0 percent in 2026, before recovering to 3.4 percent in 2027. This is broadly unchanged on a cumulative basis from the April 2026 WEO, as the drag from the war in the Middle East has been offset by an accelerated, AI-driven global technology cycle. Global headline inflation is expected to rise from 4.1 percent in 2025 to 4.7 percent in 2026, before easing to 3.9 percent in 2027, as the disinflation trend in place since early 2024 has stalled amid higher energy and food prices. The IMF highlights that risks to the outlook are more balanced than in April but remain tilted to the downside, with the possibility of renewed Middle East conflict, trade fragmentation, and a correction in AI-driven asset valuations still weighing on the outlook. Upside risks include a swifter normalisation of energy markets and stronger technology investment. Fiscal and monetary policy buffers remain eroded in many economies following the post-pandemic inflation episode, reducing governments' capacity to respond to further shocks. The IMF continues to recommend that countries rebuild fiscal space through credible medium-term consolidation, pursue structural reforms to strengthen resilience, and preserve central bank independence to safeguard price stability, while using targeted, temporary fiscal support where energy and food price pressures are most acute.

Similar to the global economy, the Asian Development Bank's (ADB) April 2026 Asian Development Outlook (ADO) points to a moderating, though still resilient, growth outlook for the Pacific region. The ADB expects Pacific Island Countries' (PICs) average growth to ease to 3.3 percent in 2026 and 3.2 percent in 2027, down from 4.2 percent in 2025, as tourism growth slows and hydrocarbon output flattens. The Middle East conflict, which escalated in February 2026, has weighed on the region mainly through higher fuel prices, prompting several PIC governments to issue advisories against fuel hoarding; ceasefires reached by July 2026 have since eased global oil prices, though the risk of renewed disruption remains. Papua New Guinea (PNG) continues to be a key driver of regional growth, supported by its resource sector, with growth of 4.7 percent expected in 2025 before moderating to 3.6 percent in 2026. Vanuatu stands out among PICs, with growth projected to rise to 4.7 percent in 2026 from 3.8 percent in 2025, driven by post-earthquake reconstruction and continued tourism recovery, before easing to 3.9 percent in 2027. Regional inflation is expected to rise to 4.2 percent in 2026, from 3.0 percent in 2025, before easing to 3.5 percent in 2027, driven mainly by higher energy prices. PICs also continue to face the ongoing challenge of climate change and natural disasters, with climate adaptation and disaster recovery utilising scarce fiscal resources. On the positive side, growth in Australia and New Zealand is expected to strengthen through 2026 and 2027, which could support regional tourism and remittances. To manage downside risks, the IMF and ADB continue to recommend economic diversification, regional cooperation, and fiscal buffers to help PICs absorb global shocks and climate-related costs.

The overall domestic economic outlook for Vanuatu, agreed by Vanuatu's Macroeconomic Committee in July 2026, remains positive. Real GDP growth is forecast at 4.0 per cent in 2026, 4.1 per cent in 2027, and 4.2 per cent in 2028, representing upward revisions of 0.2 percentage points in 2026 and 2027, and 0.5 percentage points in 2028. These upgrades are being driven by stronger construction activity, infrastructure investment, reconstruction efforts, agricultural exports, and improvements across several service industries. The industry sector remains the strongest contributor to growth, estimated at 8.6 percent in 2025 and 9.8 percent in 2026, as construction activity was revised upward to reflect delayed and rolled-over government infrastructure projects, alongside continued post-earthquake reconstruction. Agriculture is estimated to grow 5.0 percent in 2025 and 4.4 percent in 2026, underpinned by strong copra and kava exports and an upgrade to growth in the fishing sector. The services sector, Vanuatu's largest, is forecast to grow 3.3 percent in 2025 and 3.8 percent in 2026, supported by stronger wholesale and retail trade, recovering transport and air travel demand, and continued growth in telecommunications and commercial banking, including an upgrade to telecommunications growth in 2028/29 to reflect the Tamtam submarine cable project.

The Reserve Bank of Vanuatu (RBV) maintained its existing monetary policy stance during the first half of 2026, reflecting favourable macroeconomic conditions, with inflation remaining within the target range and gross official reserves above the Bank's minimum adequacy threshold. Monetary conditions remained supportive, underpinned by continued growth in money supply and private sector credit, while the banking sector remained sound, well capitalised, and resilient. The RBV will continue to closely monitor developments in domestic liquidity, private sector credit, and global economic conditions to ensure continued price stability, support the exchange rate peg, and preserve financial system stability.

At the end of June 2026, the government's net operating balance, excluding donor funds, registered a surplus of VT 319.1 million. When donor funds are included, the surplus slightly increases to VT 394.2 million. Scheduled repayments of external loans to date amounted to VT 916.6 million, with Treasury Bills worth VT 926.9 million also repaid and no domestic bonds repaid. From January to June, government revenue totalled VT 29,489.1 million, representing 55.0 percent of the revised budget target. Receipts, including donor financing, reached VT 31,335.6 million, accounting for 54.7 percent of the revised budget target of VT 57,244.9 million. Government expenses for the past six months amounted to VT 20,145.1 million, reflecting a 7.6 percent decrease compared to the same period last year. Government spending, including donor financing, reached VT 21,452.6 million, representing 41.2 percent of the revised budget target.

WORLD ECONOMIC OUTLOOK

Global growth is projected to moderate to 3.0 percent in 2026, before recovering to 3.4 percent in 2027, according to the IMF's July 2026 WEO Update. This is broadly unchanged on a cumulative basis compared with the April 2026 WEO's reference forecast of 3.1 percent in 2026 and 3.2 percent in 2027, as the negative supply shock from the war in the Middle East has been offset by an accelerated, AI-driven global technology cycle. World trade volume growth is projected to slow sharply, from 5.0 percent in 2025 to 3.5 percent in 2026, before recovering to 4.3 percent in 2027. Global headline inflation is projected to rise from 4.1 percent in 2025 to 4.7 percent in 2026, before easing to 3.9 percent in 2027.

Table 1: Global Economic Outlook: Real GDP (year-over-year change; per cent)

Country	2023	2024	2025	2026	2027	2028	2029	2030	2031
World Output	3.3	3.5	3.5	3.0	3.4	3.2	3.2	3.1	3.1
Advanced Economies	1.7	1.9	1.9	1.7	1.8	1.7	1.6	1.5	1.5
United States	2.9	2.8	2.1	2.3	2.2	2.1	1.9	1.8	1.8
Euro Area	0.4	1.0	1.4	0.9	1.2	1.4	1.2	1.1	1.1
Japan	0.7	-0.2	1.1	0.6	0.7	0.6	0.6	0.6	0.6
Emerging & Developing Markets	4.4	4.5	4.5	3.8	4.5	4.2	4.1	4.0	4.0
China	5.4	5.0	5.0	4.6	4.1	4.0	3.7	3.3	3.3

Source: IMF World Economic Outlook (WEO), April 2026; IMF WEO Update, July 2026

Advanced economy growth is forecast at 1.7 percent in 2026, recovering to 1.8 percent in 2027. US growth is expected to pick up to 2.3 percent in 2026, before easing to 2.2 percent in 2027, supported by fiscal policy, accommodative financial conditions, and continued technology-related investment. Euro area growth is forecast at just 0.9 percent in 2026, weighed down by higher energy prices and soft momentum carried over from early 2026, before recovering to 1.2 percent in 2027. Japan's growth is forecast to slow to 0.6 percent in 2026 amid the energy price shock, before a modest recovery to 0.7 percent in 2027. Advanced economy inflation is expected to rise to 3.0 percent in 2026, from 2.5 percent in 2025, before easing to 2.4 percent in 2027. Monetary policy is expected to

remain focused on preserving price stability, balancing visible inflationary pressures from the war against a relatively muted slowdown in activity.

Emerging market and developing economies are forecast to grow 3.8 percent in 2026, recovering to 4.5 percent in 2027. Growth in China is projected to slow to 4.6 percent in 2026, as higher global oil prices and structural headwinds weigh on activity, before easing further to 4.1 percent in 2027. India remains among the fastest-growing major economies, with growth projected at 6.4 percent in 2026 and 6.7 percent in 2027, supported by strong domestic consumption. Structural reforms and targeted fiscal measures remain crucial for medium-term resilience across emerging markets and developing economies.

Risks to the global outlook are more balanced than in April but remain tilted to the downside. The most immediate risk stems from developments in the Middle East: a re-escalation of tensions would extend commodity price volatility and compound inflationary pressures, while eroded policy buffers could amplify the impact of any renewed shock. A correction in AI-driven technology investment and equity valuations also poses a downside risk to global growth and financial stability. Upside risks include a swifter-than-expected normalization of energy markets, stronger technology investment, and a revival of durable trade cooperation. The IMF continues to recommend that countries prioritize restoring price stability, rebuild fiscal buffers, and pursue structural reforms to strengthen resilience and international cooperation.

REGIONAL ECONOMIC OUTLOOK

The Pacific Island Countries' (PICs) average growth is projected to moderate to 3.3 percent in 2026 and 3.2 percent in 2027, from 4.2 percent in 2025, as tourism growth slows and hydrocarbon output flattens, according to the ADB's April 2026 Asian Development Outlook (ADO). Papua New Guinea (PNG) continues to be a key driver of regional growth, supported by its resource sector, with growth of 4.7 percent in 2025 before moderating to 3.6 percent in 2026 and 3.4 percent in 2027. Fiji's growth is expected to ease to 2.6 percent in 2026 and 2.5 percent in 2027, from 3.0 percent in 2025, as tourism growth softens. Vanuatu stands out among PICs, with growth projected to rise to 4.7 percent in 2026 from 3.8 percent in 2025, before easing to 3.9 percent in 2027, driven by continued post-earthquake reconstruction assumed to spike in 2026 and tourism recovery following 2024's Air Vanuatu liquidation.

Table 2: Regional Economic Outlook: Real GDP (year-over-year change; per cent)

Country	2023	2024	2025	2026	2027
<i>Pacific Region (excluding Aus&NZ)</i>	5.3	3.9	4.2	3.3	3.2
Cook Islands	14.0	15.1	4.0	2.7	3.0
Fiji	9.4	3.5	3.0	2.6	2.5
Kiribati	3.3	4.6	4.3	3.1	2.6
Marshall Islands	-5.0	2.5	2.5	3.0	2.6
Federated States of Micronesia	1.1	2.3	1.1	0.7	1.0
Nauru	0.6	1.6	2.6	2.5	2.5
Niue	6.1	7.0	2.0	2.5	2.5
Palau	1.2	12.0	6.9	5.8	3.6
Papua New Guinea	3.8	3.9	4.7	3.6	3.4
Samoa	15.2	4.8	4.2	2.0	3.0
Solomon Islands	2.8	3.0	3.6	3.0	3.4
Tonga	2.6	1.8	2.5	2.3	2.3
Tuvalu	4.0	3.1	2.7	2.5	2.4
Vanuatu	5.8	3.8	3.8	4.7	3.9
<i>Australia</i>	2.1	1.0	2.0	2.0	1.7
<i>New Zealand</i>	2.2	-0.3	0.2	2.1	2.4

Source: ADB Asian Development Outlook (ADO), July/April 2026; IMF WEO, July/April 2026 (Australia & New Zealand); Note that, unlike the IMF, ADB does not forecast post-2027.

Regional inflation is expected to rise to 4.2 percent in 2026, from 3.0 percent in 2025, before easing to 3.5 percent in 2027, driven mainly by higher energy prices following the escalation of the Middle East conflict in February 2026. Inflationary pressures are notably elevated in Papua New Guinea, forecast at 4.6 percent in 2026, and Kiribati, at 5.3 percent in 2026.

Economic growth in Australia is projected to remain at 2.0 percent in 2025 and 2026, before easing to 1.7 percent in 2027. New Zealand's economy, which contracted by 0.3 percent in 2024, is forecast to recover to 0.2 percent growth in 2025 and strengthen further to 2.1 percent in 2026 and 2.4 percent in 2027.

Risks and vulnerabilities continue to weigh on PIC economies. The Middle East conflict has already driven up fuel prices and prompted fuel-hoarding advisories in several PICs; a re-escalation could again disrupt shipping and raise import costs, though ceasefires reached by July 2026 have eased pressures for now. Climate change and natural disasters remain persistent structural threats, especially for small island states like Vanuatu, Tuvalu, and Kiribati.

VANUATU ECONOMIC OUTLOOK

Overview

In the second quarter of 2026, the Macroeconomic Committee (MEC) adjusted its growth forecast for 2026-2030. The overall economic outlook remains positive, with real GDP growth forecast at 4.0 per cent in 2026, 4.1 per cent in 2027, and 4.2 per cent in 2028, representing upward revisions from MEC 1 2026 of 0.2 percentage points in 2026 and 2027, and 0.5 percentage points in 2028, before averaging 4.1 per cent over 2027-30. These upgrades are being driven by stronger construction activity, infrastructure investment, reconstruction efforts, agricultural exports, and improvements across several service industries.

In the agriculture sector, a strong performance was supported by continued strength in crop production, including key export crops. Kava production remained strong, with high export prices driven by a spike in international and domestic demand rather than a lack of supply. The outlook for fisheries was also revised upwards, reflecting recent Government support and donor funding to support the sector.

The industry sector remains the fastest-growing sector, driven by continued construction activity and post-earthquake rebuilding. This reflects Government infrastructure projects carried over into 2026 and 2027, and public and private post-earthquake rebuilding. Related activity is also expected to support growth in mining and quarrying, as well as electricity and water supply, aided by electrification projects in the outer islands.

The largest sector in the economy, the services sector, recorded stronger growth in 2025, driven by activity in wholesale and retail trade, transport, banking, and telecommunications, partially offset by downside risks in oil-dependent sectors. The TamTam submarine cable project, expected to be operational by end-2027, is anticipated to support growth in telecommunications. Private consumption and transport activity are also expected to benefit from remittance inflows and the progress of ongoing road projects, though rising fuel costs remain a constraint.

Table 3: Summary of projections: Domestic Real GDP (year-over-year change; per cent, published GDP actuals in blue)

Sector	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Agriculture, Fishing and Forestry Sector	-2.9%	2.3%	4.0%	2.2%	3.9%	5.0%	4.4%	3.7%	4.0%	3.7%	3.5%
Industry Sector	0.3%	-0.4%	-0.8%	14.9%	11.0%	8.6%	9.8%	8.9%	7.7%	7.1%	5.2%
Service Sector	-7.8%	0.2%	5.8%	6.7%	2.6%	3.3%	3.8%	3.9%	3.6%	3.7%	4.0%
Real GDP Growth	-5.7%	-1.2%	5.6%	5.8%	3.8%	3.8%	4.0%	4.1%	4.2%	4.2%	3.9%

Agriculture, Fisheries, and Forestry Sector

The agriculture, fishing and forestry sector was driven by key developments in crop production and fisheries, partly offset by weak cattle performance in animal production. Overall, the agriculture sector is forecast to grow by 5.0 per cent in 2025 and 4.4 per cent in 2026, supported by strong crop production and continued export demand.

In terms of crop production, fruit and vegetables are forecast to grow by 4.5 per cent in 2026 and 3.0 per cent in 2027. Growth remains positive but is moderating after exceptional growth of 18.0 per cent in 2024 and an estimated 7.0 per cent in 2025, with El Niño expected to slow production while market prices increase. Coconut growth was upgraded from 1.5 per cent to 2.2 per cent in 2026 due to strong Q1 2026 copra export performance and favourable copra prices during 2025. Kava growth was maintained in 2026 and upgraded to 6.0 per cent in 2028 and 5.0 per cent in 2029, reflecting strong international and domestic demand, ongoing replanting programmes, and the normal three-year kava regrowth cycle. Interviews with kava growers and exporters highlighted that reported shortages of the crop are driven by a sharp spike in demand, despite production remaining strong. Cocoa growth was downgraded from 8.0 per cent to 6.0 per cent, reflecting weaker production prospects than previously anticipated. Coffee growth remains at 5.0 per cent in 2026 and 4.0 per cent in 2027, supported by positive industry feedback from major producers.

Cattle growth was reduced from 2.5 per cent to 1.5 per cent in 2027 due to weak slaughterhouse data and industry reports indicating softer production. Fishing growth was upgraded from 2.5 per cent to 4.0 per cent in 2027 and from 3.0 per cent to 4.0 per cent in 2028 following nearly VT3 billion in World Bank support for fisheries development, including plans for new processing facilities and sector reforms.

From an expenditure perspective, strong copra and kava exports continue to support export earnings and economic growth.

Industry Sector

The industry sector is estimated to grow by 8.6 per cent in 2025 and 9.8 per cent in 2026, making it the strongest contributor to economic growth in Vanuatu's economy. Key developments in the industry sector are attributed to ongoing government construction and capital projects, utilities and private construction projects.

Mining and quarrying growth was upgraded to 9.0 per cent in 2028 and 5.0 per cent in 2029 due to sustained demand from construction projects and post-earthquake rebuilding activities. Manufacturing growth for abattoirs was downgraded across the forecast period from 2.0 per cent to 1.5 per cent in 2026, reflecting weak abattoir performance in Santo and lower slaughterhouse activity.

Electricity and water supply remains forecast to grow by 9.0 per cent in 2026, supported by electricity grid extensions and rural electrification projects in Efate and Tanna. Building construction was upgraded to 13.0 per cent growth in 2027, 10.0 per cent in 2028, and 8.5 per cent in 2029 due to delays in major government infrastructure projects and post-earthquake reconstruction, which have shifted activity into later years. Strong private construction activity is also reflected in record high cement imports in Q1 2026.

Building installation activities were upgraded to 10.0 per cent, 8.0 per cent, and 6.0 per cent growth between 2028 and 2030, reflecting spillover effects from delayed public projects and private-sector rebuilding. From an expenditure perspective, growth is being driven by strong Gross Fixed Capital Formation, supported by donor-funded projects, government infrastructure investment, and reconstruction activities.

Services Sector

Overall, the services sector is anticipated to grow by 3.3 per cent in 2025 and 3.8 per cent in 2026, higher than previously expected. Consumption, transport and tourism activities are the key contributing factors to the growth in the service sector amid the oil price shock.

Wholesale and retail trade was upgraded due to strong household consumption, strong vehicle imports, and expected increases in vehicle sales associated with new road infrastructure. Retail trade growth increased from 3.5 per cent to 4.0 per cent in 2026, supported by strong demand reported in Tanna and Santo.

Land and sea transport growth was upgraded from 2.0 per cent to 3.0 per cent in 2027 as major road projects improve transport connectivity. Bus and taxi services were upgraded to 3.5 per cent growth in recognition of the increased transport demand expected from road improvements. Air transport growth increased from 1.5 per cent to 3.0 per cent in 2026 and to 2.5 per cent in 2027, reflecting strong flight demand and recovery following the Air Vanuatu restructuring.

Telecommunications growth was upgraded from 2.0 per cent to 3.0 per cent in 2028 and 2029 due to the expected completion of the TamTam Digital Infrastructure Project in end-2027, which should enhance the accessibility and lower the costs of digital connectivity throughout Vanuatu. Commercial banking growth was upgraded from 2.0 per cent to 3.0 per cent in both 2026 and 2027, supported by strong private credit growth and increased account openings linked to construction activity.

Professional services, including legal, accounting and technical services, were upgraded due to reconstruction work and continuing demand arising from the Vanuatu's economic citizenship programme. Business support and equipment rental services were upgraded due to the expected construction boom and increased business activity.

Vanuatu National Provident Fund (VNPF)'s growth was revised to reflect expanding membership. Public administration growth increased from 1.2 per cent to 2.0 per cent in 2026, reflecting additional government recruitment. From an expenditure perspective, strong private consumption, tourism activity and services exports continue to support growth. Tourism remains resilient, while expanded airline connectivity is expected to support further growth in visitor arrivals and tourism-related services.

MONETARY AND EXTERNAL UPDATE

Overview

The Reserve Bank of Vanuatu (RBV) maintained its existing monetary policy stance during the first half of 2026, reflecting favourable macroeconomic conditions, with inflation remaining within the target range and gross official reserves above the Bank's minimum adequacy threshold. Monetary conditions remained supportive, underpinned by continued growth in money supply and private sector credit, while the banking sector remained sound, well capitalised, and resilient. The RBV will continue to closely monitor developments in domestic liquidity, private sector credit, and global economic conditions to ensure continued price stability, support the exchange rate peg, and preserve financial system stability.

Monetary

The Reserve Bank of Vanuatu (RBV) maintained its existing **monetary policy** stance during the first half of 2026 while continuing the implementation of its revised Monetary and Prudential Policy Framework. The RBV rate remained unchanged at 2.75 per cent, while the Statutory Reserve Deposit (SRD), Liquid Asset Ratio (LAR), and Capital Adequacy Ratio (CAR) were maintained at 5.5 per cent, 5.0 per cent, and 12.0 per cent, respectively. Open Market Operations (OMO) also remained unchanged, with VT1.9 billion issued per auction.

The decision to maintain the current policy settings reflected favourable macroeconomic conditions. Economic growth remained broadly in line with expectations, supported by the continued recovery in tourism, ongoing reconstruction activities, donor-funded infrastructure investment, and strong exports. Inflation remained within the RBV's target range, while gross official reserves continued to exceed the Bank's minimum adequacy threshold. Maintaining the current monetary policy stance is expected to support the ongoing economic recovery while preserving macroeconomic and financial stability.

Looking ahead, the current monetary policy stance is expected to remain appropriate, supported by the favourable domestic economic outlook, stable inflation, and adequate gross official reserves. Nevertheless, the RBV will continue to closely monitor developments in private sector credit, excess liquidity in the banking system, and external economic conditions, and stands ready to adjust its policy settings, where necessary, to ensure that inflation remains within the target range and support the exchange rate peg.

Money supply grew strongly during the first four months of 2026 and is expected to have maintained this momentum through the first half of 2026. Money supply increased by 8.7 per cent compared with the corresponding period of 2025, reflecting continued growth in domestic credit and net foreign assets.

Growth in domestic credit was driven primarily by private sector lending. Private sector credit increased by 13.0 per cent over the year to April 2026 and is expected to remain strong through mid-2026, reflecting the continued recovery in economic activity. Although lending to households continued to account for the largest share of total private sector credit, its rate of growth remained broadly unchanged from the corresponding period of 2025.

The Government's net credit position with the banking system improved during the first four months of 2026 and is expected to strengthen further through mid-year, reflecting continued accumulation of government deposits and the absence of domestic borrowing.

Looking ahead, monetary conditions are expected to remain supportive through the remainder of 2026, with domestic credit continuing to expand and net foreign assets remaining positive, although money growth may moderate as import demand strengthens.

In terms of components, growth in money supply reflected increases in both narrow money (M1) and quasi-money. M1 continued to expand, although at a slower pace than in April 2025, indicating continued growth in currency in circulation and demand deposits, consistent with ongoing economic activity. Quasi-money recovered from the contraction recorded in late 2025 and returned to positive growth in April 2026, supported by higher savings and term deposits. Overall, money supply is expected to continue expanding at a pace consistent with supporting economic growth while maintaining price and financial stability.

The **domestic banking sector** remained sound, profitable, and well capitalised during the first quarter of 2026, with all banks continuing normal operations following the earthquake. Private sector credit increased, non-performing loans declined compared with a year earlier, and capital adequacy remained well above the regulatory minimum.

The banking sector outlook remains stable over the short to medium term. However, downside risks remain, including a possible increase in non-performing loans if the pace of economic recovery slows. The RBV will continue to monitor developments closely and take appropriate measures to safeguard financial system stability.

Inflation

According to the Vanuatu Bureau of Statistics (VBoS), annual inflation stood at 1.0 per cent in the March 2026 quarter, remaining well within the RBV's target range of 0–4 per cent. Price increases were recorded across all regions, with inflation of 0.8 per cent in Port Vila, 1.6 per cent in Luganville, and 2.4 per cent in Lenakel.

Price increases were recorded across most expenditure groups, led by Health (18.7%), Education (12.6%), Clothing and Footwear (7.4%), Miscellaneous Goods and Services (7.2%), Communication (4.4%), Household Supplies (3.6%), Housing and Utilities (1.9%), Transport (1.0%), and Alcoholic Beverages and Tobacco (0.2%). These increases were mainly driven by higher prices for private health consultations, private school fees, footwear, furniture, and electricity and water charges.

Looking ahead, inflation is expected to remain within the RBV's target range throughout the remainder of 2026. The outlook is supported by easing global food and metal prices, stable exchange rate conditions, favourable beef export prices, and continued growth in domestic demand. Nevertheless, upside risks remain from imported inflation, particularly if global commodity prices or shipping costs increase unexpectedly.

Balance of Payments¹

According to the Vanuatu Bureau of Statistics, the trade in goods deficit widened by 15.2 per cent during January–April 2026 compared with the corresponding period of 2025. Import payments increased by 26.3 per cent, which, from a much larger base, outweighed the 80.2 per cent increase in export earnings in absolute terms. The trade in goods deficit is expected to remain elevated through the remainder of 2026 as stronger domestic demand supports import growth, while heightened global economic uncertainty may constrain export performance.

Gross official reserves increased to VT 82 billion during the first four months of 2026, mainly reflecting donor inflows for infrastructure projects and budget support, receipts from other government-related services, and net investment income earned on the RBV's foreign reserve assets. Gross official reserves are projected to remain above the RBV's minimum adequacy threshold of four (4) months of import cover through the end of 2026.

Exchange Rates

Movements in the Vatu against major trading currencies reflected prevailing global economic and financial conditions. At the end of May 2026, compared with April 2026, the Vatu appreciated against the US dollar and Euro but depreciated against the Australian and New Zealand dollars. Compared with a year earlier, the Vatu strengthened against the US dollar and weakened against the Australian dollar.

The appreciation against the US dollar is expected to reduce the cost of imports priced in US dollars, while the depreciation against the Australian dollar may improve export competitiveness but increase the cost of imports from Australia.

FISCAL UPDATE²

Revenue

Government revenue recorded VT 2,546.1 million in June which is 26.2 percent below the forecast of VT 3,448.6 million. This is mainly due to lower receipts from the citizenship fees and the Honorary Citizenship Program fees, fishing licenses and registration and land transport permit fees.

Total Government receipts for the first six months of this year recorded a total amount of VT 29,489.1 million this represents 55.0 percent of the budget target of VT 53,643.9 million and is 5.7 percent greater than the VT 27,888.7 million that was collected during the same period last year. On average, year-to-date revenue collections were 8.9 percent higher than the budget forecast of VT 27,071.1 million for the first six months of this year.

VAT continues to be the main source of the Government's taxation revenue, recording VT 898.8 million in June, which is 31.6 percent lower than the forecast of VT 1,314.2 million. The amount collected so far this year is VT 8,282.3 million, this represents 51.4 percent of the annual budget target of VT 16,122.3 million and is 12.1 percent more than the VT 7,385.5 million that was collected in June last year.

Taxes on international trade and transactions, constituting import and export duties, are the second main source of Government tax revenue, collecting VT 244.1 million in June, which is 19.1 percent below the forecast of VT 301.8 million. The total amount collected at the end of June is VT 2,612.9 million, this comprises 56.5 percent of the budget target of VT 4,622.1 million and is 30.1 percent higher than the VT 2,008.9 million that was collected in June last year.

Excise tax collection was VT 308.1 million in June, which is 42.6 percent higher than the forecast of VT 216.0 million. To date, total Excise collection is VT 2,146.1 million; comprises 57.6 percent of the budget target of VT

¹ Vanuatu's Balance of Payments statistics are currently under review and may be revised following the completion of the review process.

² The figures described and explained in this section can be seen in Tables 6 to 11 at the end of this report, which show the Statements of Government Operations using GFS14 classification.

3,726.1 million and is 38.4 percent higher than the VT 1,550.2 million that was collected during the same period last year.

Among other revenue, constituting fees and charges, the Vanuatu Development Support Program (VDSP), Vanuatu Contribution Program (VCP) and Capital Investment Immigration Plan (CIIP) together collected VT 423.3 million in June, which is 47.8 percent below the forecast of VT 811.4 million. To date total collections are VT 11,028.4 million; this represents 71.1 percent of the budget target of VT 15,503.7 million and is 14.7 percent higher than the VT 9,406.6 million that was collected during the same period in 2025.

Moving to development financing, the Government has received VT 1,846.6 million worth of project grants from its development partners during the first six months of this year. The major sources of grant assistance came from The World Bank Group contributions (VT 360.0 million), U.N.D.P. contributions (VT 226.3 million), and Australia (VT 201.0 million). Other contributing donors are gratefully acknowledged.

The total Government revenue (including Donor financing) recorded VT 31,335.6 million. This represents 54.7 percent of the revised budget target of VT 57,244.9 million and is 1.0 percent less than VT 31,664.1 million that was received during the same period in 2025.

Expense

Government expenses were VT 2,227.0 million in June, which is 48.6 percent below than the forecast of VT 4,334.4 million. The major underspending items compared to the forecast in June were compensation of employees. Government expenses recorded VT 20,145.1 million during the first half of this year, representing 41.6 percent of the 2026 revised budget target of VT 48,446.5 million and is 0.2 percent higher than the VT 20,100.2 million that was spent during the same period a year ago.

A more detailed list of underspending items in June includes compensation of employees which had actual expenditure of VT 895.4 million compared to a forecast of VT 2,321.1 million; Allowances and fees for scholarships which together had actual expenditure of VT 20.7 million compared to VT 553.3 million forecast.

Net acquisition of non-financial assets has recorded VT 3,133.3 million at the end of June, representing 26.5 percent of the revised budget target of VT 11,840.6 million and is 60.6 percent higher than the VT 1,951.4 million that was spent on net acquisitions of non-financial assets during the same period in 2025.

Under development financing, spending on project grants up to June recorded a total of VT 1,307.5 million. This represents 36.3 percent of the budgeted target of VT 3,601.0 million and is 23.6 percent lower than the amount of VT 1,711.8 million that was spent on projects during the same period last year.

Thus, total operating expense, including Government and Development financing, was VT 21,452.6 million at the end of June. This represents 41.2 percent of the revised budget target of VT 52,047.5 million and is 1.6 percent lower than the VT 21,812.0 million spent during the equivalent period in 2025.

Financing

In June, the total net operating balance for the Government, including donor funds, was a surplus of VT 394.2 million. The year-to-date total net operating balance for the Government, including donor funds, recorded at the end of June was in surplus of VT 9,883.0 million. This is equivalent to 6.8 percent of GDP.

The net operating balance for Government excluding donor funds in June was a surplus of VT 319.1 million. The year-to-date total net operating balance for the Government operations, excluding donor funds, recorded at the end of June was a surplus of VT 9,344.0 million which is equivalent to 6.4 percent of GDP.

Due to higher revenue collections combined with lower expenditure, the Government recorded a net operating surplus in the first six months of this year. The Government will continue to monitor its fiscal position, improved service delivery and enhance wellbeing for the people of Vanuatu.

REVENUE AND TAX POLICY

The Government's increasing expenditure requirements have underscored the need to strengthen revenue collection. It is therefore important that revenue policies support timely and sustainable cash flow, enabling the Government to meet its expenditure obligations and ensure the uninterrupted delivery of essential public services.

The Government budgeted to collect VT 50,380.6 million³ in a revised revenue for 2026, representing an increase of VT 10,896.8 million over the 2025 forecast. The revenue forecast is primarily driven by VAT, the Citizenship Program, Import Duties, and Excise Taxes, while key non-tax revenue sources include fishing licence and registration fees, land-related fees, and immigration fees. Overall revenue performance during the first half of 2026 has been encouraging, with tax revenues items, the Citizenship Program and the non-tax revenue items generally performing in line with expectations. However, revenue collections from the fisheries sector have underperformed against the approved budget target, as the majority of fisheries revenue is expected to be collected during the second half of the year. Based on the strong revenue performance recorded during the first half of the year, revenue collections are expected to maintain a positive trajectory in the second half of the year, provided current economic conditions and collection trends continue.

Ongoing Revenue Policy Reforms

The Government remains committed to maximizing its domestic revenue collection potential. Through the Ministry of Finance and Economic Management's Tax Policy Unit and the operational Revenue Governance Committee, the Government continues to work closely with relevant Government departments and agencies to strengthen ownership, enhance coordination, and ensure the effective implementation of both existing and new revenue initiatives.

Value Added Tax (VAT) remains a stable and significant source of Government revenue, although it is vulnerable to tax evasion, natural disasters, and global economic shocks. To strengthen compliance and protect revenue, the Government has invested over the past two years in implementing the Vanuatu Sales Monitoring System (VSMS). During the first half of this year, the Department of Customs and Inland Revenue (DCIR) commenced the first phase of the rollout by registering and training large businesses, with medium-sized businesses to follow. While VAT collections have continued to perform strongly, the full implementation of the VSMS is expected to further enhance compliance, reduce revenue leakage, and strengthen VAT revenue collection. Earlier this year, the World Bank undertook a Technical Assistance mission to support the Government's review of the excise tax regime for tobacco and alcohol. The review assessed whether the current excise tax rates have kept pace with real economic growth and inflation, and examined options to ensure that excise taxes continue to achieve their fiscal and public health objectives while maintaining their real value over time.

The Citizenship Program projected a significant increase in its 2026 revenue budget compared to 2025. Although correspondent banking relationship challenges and other global factors continue to affect the program, ongoing reforms have strengthened the program through improved compliance, enhanced application management with agents, stronger investment requirements under the Capital Investment Immigration Plan (CIIP), and the full implementation of the invoicing system. These administrative improvements have contributed to strong revenue

³ The revised revenue budget of VT 50,380.6 million represents Government domestic revenue only and excludes budget support and other donor financing.

performance during the first half of the year, and current trends indicate that collections are likely to exceed the program's 2026 revenue forecast by year-end.

Vanuatu Commitments with OECD Global Forum and EU Code of Conduct Group

Vanuatu continues to strengthen its tax framework to meet international standards of transparency and good tax governance, including those set by the OECD's Global Forum on Transparency and Exchange of Information for Tax Purposes and the European Union's Code of Conduct Group (EU CoCG). As part of its commitment to addressing concerns related to offshore structures and arrangements lacking economic substance, Vanuatu has developed the Resident Entity (Economic Substance) Bill and the Resident Entity (Consequential Amendments) Bill. Once approved by Parliament, these legislative reforms are expected to support Vanuatu's efforts to meet the EU CoCG requirements and progress towards removal from the EU List of Non-Cooperative Jurisdictions for Tax Purposes.

Vanuatu underwent a peer review assessment in early 2026 of its legal and regulatory frameworks, as well as the practical implementation of the Exchange of Information on Request (EOIR) standard. Following the assessment, the OECD's Global Forum upgraded Vanuatu's overall EOIR rating from "Partially Compliant" to "Largely Compliant", recognizing the country's significant progress in meeting international standards on transparency and the exchange of information upon request.

Outstanding Revenue

Outstanding revenue continues to represent a significant source of potential Government revenue. During the first half of 2026, the Government strengthened revenue collection efforts through enhanced compliance, debt recovery, and enforcement activities undertaken by the Department of Customs and Inland Revenue and other revenue-collecting agencies. These measures are aimed at reducing revenue arrears, improving compliance, and maximizing domestic revenue collections. Continued focus on recovering outstanding liabilities is expected to strengthen the Government's fiscal position and contribute positively to overall revenue performance in the second half of the year. Current outstanding revenue stands at around VT 2.8 billion with outstanding. According to information provided by the Department of Customs and Inland Revenue (DCIR), outstanding VAT revenue is estimated to exceed VT 3 billion.

The Government continues to face challenges in recovering outstanding revenue due to several factors, including:

- **Statute-barred debts:** A significant proportion of outstanding revenue has exceeded the legal limitation period for recovery.
- **Weak compliance and enforcement:** The accumulation of penalties, together with limited compliance and debt recovery efforts, has contributed to the growth of revenue arrears.
- **Inactive or dissolved taxpayers:** Some outstanding debts relate to companies that have ceased operations, been liquidated, or whose owners have left the country or are deceased, making recovery unlikely.

A National Write-off Committee has been established within the Ministry of Finance and Economic Management (MFEM) to assess and address outstanding revenue issues. The Committee is responsible for reviewing long-outstanding debts, recommending the write-off of unrecoverable amounts where appropriate, and ensuring that the Government's receivables present a true and fair view of recoverable revenue.

The successful implementation of the Government's budget and development priorities depends on strong revenue performance. To support this, the Government will continue to strengthen revenue administration, compliance, and enforcement, while improving the collection of existing taxes, fees, and charges to enhance domestic revenue mobilization.

PUBLIC DEBT

Current Debt Stock

Vanuatu's public debt portfolio currently stands at approximately VT63.2 billion, comprising VT17.8 billion in domestic debt, VT43.7 billion in external debt and VT1.5 billion in guarantees.

External debt profile remains largely concessional; however, the overall risk of debt distress remains as High by the International Monetary Fund (IMF). The rating is primarily driven by projected increases in public debt, with the Present Value of Public Debt-to-GDP expected to breach the 55 per cent benchmark from 2032 onwards, reflecting persistent fiscal deficits, reconstruction spending following the 2024 earthquake, ongoing support for Air Vanuatu, and increased domestic borrowing requirements. Notwithstanding these challenges, the ongoing IMF Debt Sustainability Analysis (DSA) review is expected to result in a more favourable assessment of Vanuatu's debt outlook, underpinned by improving debt indicators.

The domestic debt portfolio is predominantly held by the Vanuatu National Provident Fund (VNPF) and the Reserve Bank of Vanuatu, with additional holdings by the National Bank of Vanuatu (NBV) and the Bank of the South Pacific (BSP)

Following the enactment of the new RBV legislation, which provides for secondary market trading of government securities, approximately VT1.1 billion of RBV's holdings were transferred to VNPF in June 2026. As a result, RBV's share of the domestic debt portfolio declined to 33 per cent while VNPF's share increased to 39 per cent. NBV and BSP are currently 21 per cent and 5 per cent of the domestic debt portfolio, respectively.

The introduction and development of a secondary market trading represent a significant step towards enhancing liquidity and broadening investor participation in Vanuatu's domestic debt market.

Half-Year 2026 Debt Management Activities

During the first half of 2026, debt servicing operations comprised principal repayments of VT1.8 billion and interest payments totalling VT613 million. Included in the principal repayments was VT926 million related to a three-month Treasury Bill that matured in February 2026.

No new domestic debt securities were issued during the first six months of the year, reflecting a stronger than anticipated fiscal position and improved government liquidity. While borrowing requirements remained limited over this period, maintaining regular market engagement remains crucial to fostering investor confidence, ensuring continued market participation and supporting the long-term development of the domestic securities market.

Collaborative Institutional Work

Addressing structural challenges requires coordinated action:

- **Adapting to Regulatory Reforms:** Recent legislative changes introduced by the Reserve Bank of Vanuatu have implications for the Bank's participation in the primary securities market. As a result, efforts are being directed toward gradually broadening the investor base and increasing participation from non-bank investors to ensure continued market depth and sustainability
- **Advancing Secondary Market Development:** Developing an active secondary market remains a key priority. Improved secondary market liquidity will support price discovery, facilitate trading activity and strengthen the overall efficiency of the domestic securities market.
- **Strengthening Fiscal Consolidation Measures:** Fiscal authorities continue to align expenditure control measures with revenue enhancement initiatives to improve fiscal sustainability and reduce reliance on deficit financing.

- **Enhancing Market Infrastructure and Capacity:** Technical assistance from the IMF and other multilateral development partners is supporting the design and implementation of a domestic yield curve framework, annual issuance calendar as well as strengthening government cash and liquidity management practices.

Pathway to Debt Sustainability

- **Sustainable and Prudent Financing:** Meet the Government's financing needs at the lowest possible cost while maintaining debt sustainability.
- **Strengthened Debt Governance and Risk Management:** Safeguard debt sustainability through sound governance, risk management and institutional capacity.
- **Domestic Market Development and Investor Diversification:** Build a deeper, more liquid and diversified domestic security market.

Table 6: Statement of Government Operations excluding Donor Financing using GFS14 Classification, January – June 2026

STATEMENT OF GOVERNMENT OPERATIONS EXCLUDING DONORS										
GFS Code	GFS Description	Budget 2026	Total (VT mn)	%	January Actual	February Actual	March Actual	April Actual	May Actual	June Actual
TRANSACTIONS AFFECTING NET WORTH:										
A1	Revenue	53,643.9	29,489.1	55.0%	8,033.9	4,441.9	4,300.5	5,199.2	4,967.5	2,546.1
A11	Taxes	29,512.9	16,516.9	56.0%	4,368.9	2,694.7	2,396.7	2,846.3	2,260.4	1,950.0
A111	Taxes on income, profits, and capital gains	-	-	0.0%	-	-	-	-	-	-
A112	Taxes on payroll & workforce	-	-	0.0%	-	-	-	-	-	-
A113	Taxes on property	723.0	590.5	81.7%	101.9	36.4	117.4	109.3	83.5	142.1
A114	Taxes on goods & services	24,167.8	13,313.6	55.1%	3,632.7	2,177.3	1,908.2	2,225.5	1,806.0	1,563.8
7TVA	Value-added taxes	16,122.3	8,282.3	51.4%	2,294.6	1,027.4	1,279.1	1,477.4	1,305.0	898.8
A1142	Excises	3,726.1	2,146.1	57.6%	550.3	380.0	284.8	379.3	243.5	308.1
A115	Taxes on international trade & transactions	4,622.1	2,612.9	56.5%	634.3	481.1	371.1	511.4	370.9	244.1
A116	Other taxes	-	-	0.0%	-	-	-	-	-	-
A12	Social contributions	-	-	0.0%	-	-	-	-	-	-
A13	Grants	3,670.0	701.3	19.1%	694.7	-	-	-	-	6.6
A14	Other revenue	20,460.9	12,270.9	60.0%	2,970.4	1,747.1	1,903.9	2,352.8	2,707.1	589.5
	Expense	48,446.5	20,145.1	41.6%	4,336.9	2,764.4	3,904.2	3,853.6	3,059.1	2,227.0
A21	Compensation of employees	25,912.7	9,840.9	38.0%	1,991.4	1,638.6	1,963.9	1,659.5	1,692.2	895.4
A22	Use of goods and services	11,462.7	4,738.0	41.3%	1,361.5	446.4	767.5	654.6	690.8	817.1
A23	Consumption of fixed capital	-	-	0.0%	-	-	-	-	-	-
A24	Interest	1,537.7	608.3	39.6%	9.2	13.8	193.9	306.3	64.1	20.9
A25	Subsidies	898.3	(5.9)	-0.7%	(15.0)	-	-	-	7.2	1.9
A26	Grants	5,250.0	3,024.8	57.6%	795.1	240.5	356.0	866.3	550.3	216.6
A27	Social benefits	1,844.9	1,015.8	55.1%	114.2	231.4	455.5	81.4	29.0	104.4
A28	Other expense	1,540.1	923.2	59.9%	80.5	193.7	167.3	285.5	25.5	170.7
GOB	Gross operating balance (1-2+23+NOBz)	5,197.4	9,344.0		3,697.1	1,677.4	396.4	1,345.6	1,908.4	319.1
NOB	Net operating balance (1-2+NOBz)	5,197.4	9,344.0		3,697.1	1,677.4	396.4	1,345.6	1,908.4	319.1
	% of GDP	3.6%	6.4%		2.5%	1.1%	0.3%	0.9%	1.3%	0.2%
TRANSACTIONS IN NONFINANCIAL ASSETS:										
A31	Net Acquisition of Nonfinancial Assets	11,840.6	3,133.3	26.5%	252.2	186.8	186.5	516.8	1,138.8	852.4
A311	Fixed assets	10,829.6	2,793.0	25.8%	250.3	185.3	137.9	368.8	1,138.4	712.4
A312	Change in inventories	-	-	0.0%	-	-	-	-	-	-
A313	Valuables	-	-	0.0%	-	-	-	-	-	-
A314	Nonproduced assets	1,011.0	340.3	0.0%	1.9	1.5	48.6	148.0	0.4	140.0
NLB	Net lending / borrowing (1-2+NOBz-31)	(6,643.1)	6,210.7		3,444.9	1,490.7	209.9	828.8	769.6	(533.3)
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):										
		-4.5%	4.2%		2.4%	1.0%	0.1%	0.6%	0.5%	-0.4%
A32	Net acquisition of financial assets	(6,189.2)	4,367.2	0.0%	3,391.8	563.8	(419.8)	748.2	695.0	(611.8)
A321	Domestic	(6,189.2)	4,367.2	0.0%	3,391.8	563.8	(419.8)	748.2	695.0	(611.8)
A322	Foreign	-	-	0.0%	-	-	-	-	-	-
A33	Net incurrence of liabilities	453.9	(1,843.5)	-406.1%	(53.1)	(926.9)	(629.6)	(80.6)	(74.7)	(78.6)
A331	Domestic creditors	2,969.4	(926.9)		-	(926.9)	-	-	-	-
A332	External creditors	(2,515.4)	(916.6)	36.4%	(53.1)	-	(629.6)	(80.6)	(74.7)	(78.6)

Source: Department of Finance and Treasury

Table 7: Statement of Government Operations funded by donors through the central treasury account, in GFS14 Classification, January – June 2026

STATEMENT OF GOVERNMENT OPERATIONS FUNDED BY DONORS THROUGH THE CENTRAL TREASURY ACCOUNT										
GFS Code	GFS Description	Budget 2026	Total (VT mn)	%	January Actual	February Actual	March Actual	April Actual	May Actual	June Actual
TRANSACTIONS AFFECTING NET WORTH:										
A1	Revenue	3,601.0	1,846.6	51.3%	284.1	449.3	238.0	434.0	148.7	292.4
A11	Taxes	-	-	0.0%	-	-	-	-	-	-
A111	Taxes on income, profits, and capital gains	-	-	0.0%	-	-	-	-	-	-
A112	Taxes on payroll & workforce	-	-	0.0%	-	-	-	-	-	-
A113	Taxes on property	-	-	0.0%	-	-	-	-	-	-
A114	Taxes on goods & services	-	-	0.0%	-	-	-	-	-	-
A115	Taxes on international trade & transactions	-	-	0.0%	-	-	-	-	-	-
A116	Other taxes	-	-	0.0%	-	-	-	-	-	-
A12	Social contributions	-	-	0.0%	-	-	-	-	-	-
A13	Grants	3,601.0	1,846.6	51.3%	284.1	449.3	238.0	434.0	148.7	292.4
A14	Other revenue	-	-	0.0%	-	-	-	-	-	-
A2	Expense	3,601.0	1,307.5	36.3%	78.4	213.6	314.7	262.5	221.0	217.3
A21	Compensation of employees	150.4	162.4	108.0%	26.1	24.1	31.4	29.0	36.4	15.3
A22	Use of goods and services	1,813.3	1,116.8	61.6%	51.9	184.9	280.2	224.1	181.6	194.2
A23	Consumption of fixed capital	-	-	0.0%	-	-	-	-	-	-
A24	Interest	-	-	-	-	-	-	-	-	-
A25	Subsidies	4.7	-	0.0%	-	-	-	-	-	-
A26	Grants	1,493.0	22.5	1.5%	-	3.7	3.4	7.1	2.8	5.4
A27	Social benefits	135.9	9.9	7.3%	0.3	0.7	4.5	2.3	-	2.1
A28	Other expense	3.6	(4.0)	-109.4%	0.0	0.2	(4.7)	0.0	0.2	0.4
GOB	Gross operating balance (1-2+23+NOBz)	-	539.0		205.8	235.7	(76.7)	171.5	(72.3)	75.1
NOB	Net operating balance (1-2+NOBz)	-	539.0		205.8	235.7	(76.7)	171.5	(72.3)	75.1
	% of GDP	0.0%	0.4%		0.1%	0.2%	-0.1%	0.1%	0.0%	0.1%
TRANSACTIONS IN NONFINANCIAL ASSETS:										
A31	Net Acquisition of Nonfinancial Assets	-	1,100.4		231.1	108.5	257.4	155.6	186.6	161.3
A311	Fixed assets	-	1,100.4		231.1	108.5	257.4	155.6	186.6	161.3
A312	Change in inventories	-	-	0.0%	-	-	-	-	-	-
A313	Valuables	-	-	0.0%	-	-	-	-	-	-
A314	Nonproduced assets	-	-	0.0%	-	-	-	-	-	-
NLB	Net lending / borrowing (1-2+NOBz-31)	-	(561.4)		(25.3)	127.2	(334.0)	15.9	(258.9)	(86.2)
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):										
		0.0%	-0.4%		0.0%	0.1%	-0.2%	0.0%	-0.2%	-0.1%
A32	Net acquisition of financial assets	-	(561.4)	0.0%	(25.3)	127.2	(334.0)	15.9	(258.9)	(86.2)
A321	Domestic	-	(561.4)	0.0%	(25.3)	127.2	(334.0)	15.9	(258.9)	(86.2)
A322	Foreign	-	-	0.0%	-	-	-	-	-	-
A33	Net incurrence of liabilities	-	-		-	-	-	-	-	-
A331	Domestic creditors	-	-	0.0%	-	-	-	-	-	-
A332	External creditors	-	-		-	-	-	-	-	-

Source: Department of Finance and Treasury

Table 8: Statement of Government Operations including donor financing (consolidated) using GFS14 Classification, January – June 2026

STATEMENT OF TOTAL GOVERNMENT OPERATIONS										
GFS Code	GFS Description	Budget 2026	Total (VT mn)	%	January Actual	February Actual	March Actual	April Actual	May Actual	June Actual
TRANSACTIONS AFFECTING NET WORTH:										
A1	Revenue	57,244.9	31,335.6	54.7%	8,318.0	4,891.2	4,538.6	5,633.2	5,116.1	2,838.5
A11	Taxes	29,512.9	16,516.9	56.0%	4,368.9	2,694.7	2,396.7	2,846.3	2,260.4	1,950.0
A111	Taxes on income, profits	-	-	0.0%	-	-	-	-	-	-
A112	Taxes on payroll & worki	-	-	0.0%	-	-	-	-	-	-
A113	Taxes on property	723.0	590.5	81.7%	101.9	36.4	117.4	109.3	83.5	142.1
A114	Taxes on goods & servic	24,167.8	13,313.6	55.1%	3,632.7	2,177.3	1,908.2	2,225.5	1,806.0	1,563.8
A115	Taxes on international ti	4,622.1	2,612.9	56.5%	634.3	481.1	371.1	511.4	370.9	244.1
A116	Other taxes	-	-	0.0%	-	-	-	-	-	-
A12	Social contributions	-	-	0.0%	-	-	-	-	-	-
A13	Grants	7,271.0	2,547.8	35.0%	978.8	449.3	238.0	434.0	148.7	299.0
A14	Other revenue	20,460.9	12,270.9	60.0%	2,970.4	1,747.1	1,903.9	2,352.8	2,707.1	589.5
A2	Expense	52,047.5	21,452.6	41.2%	4,415.2	2,978.1	4,218.9	4,116.1	3,280.1	2,444.3
A21	Compensation of employe	26,063.1	10,003.3	38.4%	2,017.5	1,662.7	1,995.3	1,688.5	1,728.6	910.7
A22	Use of goods and services	13,276.0	5,854.7	44.1%	1,413.4	631.3	1,047.7	878.7	872.4	1,011.3
A23	Consumption of fixed cap	-	-	0.0%	-	-	-	-	-	-
A24	Interest	1,537.7	608.3	39.6%	9.2	13.8	193.9	306.3	64.1	20.9
A25	Subsidies	903.0	(5.9)	-0.7%	(15.0)	-	-	-	7.2	1.9
A26	Grants	6,743.1	3,047.2	45.2%	795.1	244.2	359.4	873.4	553.1	222.0
A27	Social benefits	1,980.9	1,025.7	51.8%	114.4	232.1	460.1	83.7	29.0	106.5
A28	Other expense	1,543.7	919.3	59.6%	80.6	193.9	162.6	285.6	25.7	171.1
GOB	Gross operating balance	5,197.4	9,883.0		3,902.8	1,913.2	319.7	1,517.1	1,836.1	394.2
NOB	Net operating balance (	5,197.4	9,883.0		3,902.8	1,913.2	319.7	1,517.1	1,836.1	394.2
	% of GDP	3.6%	6.8%		2.7%	1.3%	0.2%	1.0%	1.3%	0.3%
TRANSACTIONS IN NONFINANCIAL ASSETS:										
A31	Net Acquisition of Nonfir	11,840.6	4,229.4	35.7%	483.2	295.3	443.8	669.7	1,325.3	1,012.0
A311	Fixed assets	10,829.6	3,889.1	35.9%	481.4	293.8	395.2	521.7	1,325.0	872.0
A312	Change in inventories	-	-	0.0%	-	-	-	-	-	-
A313	Valuables	-	-	0.0%	-	-	-	-	-	-
A314	Nonproduced assets	1,011.0	340.3	0.0%	1.9	1.5	48.6	148.0	0.4	140.0
NLB	Net lending / borrowing	(6,643.1)	5,653.6		3,419.6	1,617.8	(124.1)	847.3	510.7	(617.8)
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):										
		-4.5%	3.9%		2.3%	1.1%	-0.1%	0.6%	0.3%	-0.4%
A32	Net acquisition of financ	(6,189.2)	4,737.0	0.0%	3,366.5	1,617.8	(753.8)	766.7	436.1	(696.4)
A321	Domestic	(6,189.2)	4,737.0	0.0%	3,366.5	1,617.8	(753.8)	766.7	436.1	(696.4)
A322	Foreign	-	-	0.0%	-	-	-	-	-	-
A33	Net incurrence of liabilit	453.9	(916.6)	-201.9%	(53.1)	-	(629.6)	(80.6)	(74.7)	(78.6)
A331	Domestic creditors	2,969.4	-		-	-	-	-	-	-
A332	External creditors	(2,515.4)	(916.6)	36.4%	(53.1)	-	(629.6)	(80.6)	(74.7)	(78.6)

Source: Department of Finance and Treasury

Table 9: Statement of Government Operations excluding Donor Financing using GFS14 Classification, 2023 - 2030

GFS Code	GFS Description	Actual 2023	Actual 2024	Actual (Jan - Dec) 2025	Actual (Jan - June) 2025	Revised Budget 2026	Actual (Jan - June) 2026	Forecast 2027	Forecast 2028	Forecast 2029	Forecast 2030
TRANSACTIONS AFFECTING NET WORTH:											
A1	Revenue	36,035.3	43,987.2	52,162.7	27,888.7	53,643.9	29,489.1	51,383.5	54,461.9	57,890.9	61,818.4
A11	Taxes	23,354.5	25,855.1	28,121.6	13,732.1	29,512.9	16,516.9	32,551.9	35,330.9	38,427.7	42,003.0
A111	Taxes on income, profits, and capital gains	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A112	Taxes on payroll and workforce	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A113	Taxes on property	489.4	723.1	958.1	405.0	723.0	590.5	1,250.4	1,340.2	1,439.2	1,545.9
A114	Taxes on goods and services	17,963.2	21,055.9	22,794.9	11,318.3	24,167.8	13,313.6	26,186.2	28,504.1	31,066.2	33,775.1
A115	Taxes on international trade and transactions	4,902.0	4,076.1	4,368.6	2,008.9	4,622.1	2,612.9	5,115.3	5,486.7	5,922.3	6,682.0
A116	Other taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A12	Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A132	Grants	1,837.4	3,394.0	5,709.0	3,738.8	3,670.0	701.3	0.0	0.0	0.0	0.0
A14	Other revenue	10,843.4	14,738.1	18,332.1	10,417.8	20,460.9	12,270.9	18,831.6	19,131.0	19,463.1	19,815.4
A2	Expense	35,060.2	38,281.5	38,156.5	20,100.2	48,446.5	20,145.1	50,219.4	51,605.7	53,018.5	54,390.5
A21	Compensation of employees	17,069.9	18,995.4	22,708.3	10,645.5	25,912.7	9,840.9	26,690.1	27,490.8	28,315.5	29,164.9
A22	Use of goods and services	9,122.2	8,669.2	6,319.2	3,973.9	11,462.7	4,738.0	11,806.6	12,160.8	12,525.6	12,901.4
A23	Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A24	Interest	1,114.3	1,148.3	1,016.3	615.1	1,537.7	608.3	1,930.4	1,895.0	1,843.4	1,707.0
A25	Subsidies	83.0	146.2	338.7	202.8	898.3	-5.9	898.3	898.3	898.3	898.3
A26	Grants	5,193.0	6,994.0	5,387.1	3,348.9	5,250.0	3,024.8	5,407.5	5,569.7	5,736.8	5,908.9
A27	Social benefits	1,213.5	866.6	896.1	755.1	1,844.9	1,015.8	1,900.3	1,957.3	2,016.0	2,076.5
A28	Other expense	1,264.2	1,461.8	1,490.8	558.9	1,540.1	923.2	1,586.3	1,633.9	1,682.9	1,733.4
GOB	Gross operating balance (1-2+23+NOBz)	975.2	5,705.8	14,006.2	7,788.5	5,197.4	9,344.0	1,164.1	2,856.2	4,872.3	7,428.0
NOB	Net operating balance (1-2+NOBz)	975.2	5,705.8	14,006.2	7,788.5	5,197.4	9,344.0	1,164.1	2,856.2	4,872.3	7,428.0
TRANSACTIONS IN NONFINANCIAL ASSETS:											
A31	Net investment in nonfinancial assets	2,032.3	4,668.9	4,130.0	1,951.4	11,840.6	3,133.3	3,253.2	3,324.2	1,827.1	1,827.1
A311	Fixed assets	1,526.6	4,143.1	3,371.7	1,584.9	10,829.6	2,793.0	3,253.2	3,324.2	1,827.1	1,827.1
A312	Inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A313	Valuables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A314	Nonproduced assets	505.7	525.8	758.2	366.5	1,011.0	340.3	0.0	0.0	0.0	0.0
NLB	Net lending / borrowing (1-2+NOBz-31)	-1,057.2	1,036.9	9,876.3	5,837.0	(6,643.1)	6,210.7	(2,089.1)	(468.0)	3,045.2	5,600.8
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):											
A32	Net acquisition of financial assets	-1,305.5	3,458.2	9,696.3	5,282.0	(6,189.2)	4,367.2	(4,959.2)	(3,374.2)	167.4	2,718.6
A321	Domestic	-1,305.5	3,458.2	9,696.3	5,282.0	(6,189.2)	4,367.2	(4,959.2)	(3,374.2)	167.4	2,718.6
A3212	Currency and deposits	-1,194.3	3,458.2	9,696.3	5,282.0	(6,189.2)	4,367.2	(4,959.2)	(3,374.2)	167.4	2,718.6
A3214	Loans	-111.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A322	External		0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A33	Net incurrence of liabilities	-248.3	2,421.3	(179.9)	(555.0)	453.9	(1,843.5)	(2,870.2)	(2,906.2)	(2,877.9)	(2,882.2)
A331	Domestic	2,186.6	3,882.7	1,287.9	287.9	2,969.4	(926.9)	0.0	0.0	0.0	0.0
A332	External	-2,434.9	(1,461.4)	(1,467.8)	(842.9)	(2,515.4)	(916.6)	(2,870.2)	(2,906.2)	(2,877.9)	(2,882.2)

Source: Department of Finance and Treasury

Table 10: Statement of Government Operations funded by donors through the central treasury account, in GFS14 Classification, 2023 – 2030

GFS Code	GFS Description	Actual 2023	Actual 2024	Actual (Jan - Dec) 2025	Actual (Jan - June) 2025	Revised Budget 2026	Actual (Jan - June) 2026	Forecast 2027	Forecast 2028	Forecast 2029	Forecast 2030
TRANSACTIONS AFFECTING NET WORTH:											
A1	Revenue	10,010.7	8,640.2	11,086.8	3,775.4	3,601.0	1,846.6	9,660.2	6,067.6	7,863.9	6,965.8
A11	Taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A111	Taxes on income, profits, and capital gains	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A112	Taxes on payroll and workforce	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A113	Taxes on property	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A114	Taxes on goods and services	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A115	Taxes on international trade and transactions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A116	Other taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A12	Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A13	Grants	10,010.7	8,640.2	11,086.8	3,775.4	3,601.0	1,846.6	9,660.2	6,067.6	7,863.9	6,965.8
A14	Other revenue	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A2	Expense	2,603.5	4,296.6	4,126.2	1,711.8	3,601.0	1,307.5	9,660.2	6,067.6	7,863.9	6,965.8
A21	Compensation of employees	276.4	235.5	426.9	184.6	150.4	162.4	587.0	368.7	477.9	423.3
A22	Use of goods and services	2,096.3	2,633.3	3,332.4	1,425.5	1,813.3	1,116.8	7,077.5	4,445.4	5,761.4	5,103.4
A23	Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A24	Interest	2.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A25	Subsidies	4.8	0.7	0.0	0.0	4.7	0.0	18.4	11.5	15.0	13.3
A26	Grants	191.6	1,353.5	186.5	78.1	1,493.0	22.5	1,432.6	899.8	1,166.2	1,033.0
A27	Social benefits	22.3	28.0	27.8	7.1	135.9	9.9	530.6	333.3	431.9	382.6
A28	Other expense	9.9	45.5	152.5	16.5	3.6	-4.0	14.1	8.9	11.5	10.2
GOB	Gross operating balance (1-2+23+NOBz)	7,407.2	4,343.6	6,960.7	2,063.7	0.0	539.0	0.0	0.0	0.0	0.0
NOB	Net operating balance (1-2+NOBz)	7,407.2	4,343.6	6,960.7	2,063.7	0.0	539.0	0.0	0.0	0.0	0.0
TRANSACTIONS IN NONFINANCIAL ASSETS:											
A31	Net investment in nonfinancial assets	5,406.8	5,342.0	6,839.7	669.5	0.0	1,100.4	0.0	0.0	0.0	0.0
A311	Fixed assets	5,405.6	5,342.0	6,839.7	669.5	0.0	1,100.4	0.0	0.0	0.0	0.0
A312	Inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A313	Valuables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A314	Nonproduced assets	1.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NLB	Net lending / borrowing (1-2+NOBz-31)	2,000.3	(998.4)	121.0	1,394.1	0.0	(561.4)	0.0	0.0	0.0	0.0
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):											
A32	Net acquisition of financial assets	2,000.3	(998.4)	121.0	1,394.1	0.0	(561.4)	0.0	0.0	0.0	0.0
A321	Domestic	2,000.3	(998.4)	121.0	1,394.1	0.0	(561.4)	0.0	0.0	0.0	0.0
A3212	Currency and deposits	2,000.3	(998.4)	121.0	1,394.1	0.0	(561.4)	0.0	0.0	0.0	0.0
A3214	Loans	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A322	External	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A33	Net incurrence of liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A331	Domestic	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A332	External	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0

Source: Department of Finance and Treasury

Table 11: Statement of Government Operations including donor financing (consolidated) using GFS14 Classification, 2023 – 2030

GFS Code	GFS Description	Actual 2023	Actual 2024	Actual (Jan - Dec) 2025	Actual (Jan - June) 2025	Revised Budget 2026	Actual (Jan - Jun) 2026	Forecast 2027	Forecast 2028	Forecast 2029	Forecast 2030
TRANSACTIONS AFFECTING NET WORTH:											
A1	Revenue	46,046.0	52,627.4	63,249.5	31,664.1	57,244.9	31,335.6	61,043.7	60,529.5	65,754.8	68,784.2
A11	Taxes	23,354.5	25,855.1	28,121.6	13,732.1	29,512.9	16,516.9	32,551.9	35,330.9	38,427.7	42,003.0
A111	Taxes on income, profits, and capital gains	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A112	Taxes on payroll and workforce	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A113	Taxes on property	489.4	723.1	958.1	405.0	723.0	590.5	1,250.4	1,340.2	1,439.2	1,545.9
A114	Taxes on goods and services	17,963.2	21,055.9	22,794.9	11,318.3	24,167.8	13,313.6	26,186.2	28,504.1	31,066.2	33,775.1
A115	Taxes on international trade and transaction	4,902.0	4,076.1	4,368.6	2,008.9	4,622.1	2,612.9	5,115.3	5,486.7	5,922.3	6,682.0
A116	Other taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A12	Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A13	Grants	11,848.1	12,034.1	16,795.8	7,514.2	7,271.0	2,547.8	9,660.2	6,067.6	7,863.9	6,965.8
A14	Other revenue	10,843.4	14,738.1	18,332.1	10,417.8	20,460.9	12,270.9	18,831.6	19,131.0	19,463.1	19,815.4
A2	Expense	37,663.7	42,578.1	42,282.6	21,812.0	52,047.5	21,452.6	59,879.6	57,673.4	60,882.4	61,356.2
A21	Compensation of employees	17,346.2	19,230.9	23,135.2	10,830.0	26,063.1	10,003.3	27,277.1	27,859.5	28,793.4	29,588.2
A22	Use of goods and services	11,218.5	11,302.5	9,651.6	5,399.5	13,276.0	5,854.7	18,884.0	16,606.2	18,287.0	18,004.8
A23	Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A24	Interest	1,116.6	1,148.3	1,016.3	615.1	1,537.7	608.3	1,930.4	1,895.0	1,843.4	1,707.0
A25	Subsidies	87.8	146.9	338.7	202.8	903.0	-5.9	916.7	909.8	913.3	911.5
A26	Grants	5,384.7	8,347.5	5,573.7	3,427.0	6,743.1	3,047.2	6,840.1	6,469.6	6,903.1	6,942.0
A27	Social benefits	1,235.8	894.6	923.9	762.1	1,980.9	1,025.7	2,430.9	2,290.5	2,447.9	2,459.1
A28	Other expense	1,274.1	1,507.3	1,643.2	575.4	1,543.7	919.3	1,600.4	1,642.8	1,694.4	1,743.6
GOB	Gross operating balance (1-2+23+NOBz)	8,382.3	10,049.3	20,966.9	9,852.1	5,197.4	9,883.0	1,164.1	2,856.2	4,872.3	7,428.0
NOB	Net operating balance (1-2+NOBz)	8,382.3	10,049.3	20,966.9	9,852.1	5,197.4	9,883.0	1,164.1	2,856.2	4,872.3	7,428.0
TRANSACTIONS IN NONFINANCIAL ASSETS:											
A31	Net investment in nonfinancial assets	7,439.2	10,010.9	10,969.6	2,621.0	11,840.6	4,233.7	3,253.2	3,324.2	1,827.1	1,827.1
A311	Fixed assets	6,932.2	9,485.1	10,211.4	2,254.4	10,829.6	3,893.4	3,253.2	3,324.2	1,827.1	1,827.1
A312	Inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A313	Valuables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A314	Nonproduced assets	507.0	525.8	758.2	366.5	1,011.0	340.3	0.0	0.0	0.0	0.0
NLB	Net lending / borrowing (1-2+NOBz-31)	943.2	38.4	9,997.3	7,231.2	(6,643.1)	5,649.3	(2,089.1)	(468.0)	3,045.2	5,600.8
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):											
A32	Net acquisition of financial assets	694.8	2,459.7	9,817.3	6,676.2	(6,189.2)	3,805.8	(4,959.2)	(3,374.2)	167.4	2,718.6
A321	Domestic	694.8	2,459.7	9,817.3	6,676.2	(6,189.2)	3,805.8	(4,959.2)	(3,374.2)	167.4	2,718.6
A3212	Currency and deposits	806.0	2,459.7	9,817.3	6,676.2	(6,189.2)	3,805.8	(4,959.2)	(3,374.2)	167.4	2,718.6
A3214	Loans	(111.2)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A322	External	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A33	Net incurrence of liabilities	(248.3)	2,421.3	(179.9)	(555.0)	453.9	(1,843.5)	(2,870.2)	(2,906.2)	(2,877.9)	(2,882.2)
A331	Domestic	2,186.6	3,882.7	1,287.9	287.9	2,969.4	(926.9)	0.0	0.0	0.0	0.0
A332	External	(2,434.9)	(1,461.4)	(1,467.8)	(842.9)	(2,515.4)	(916.6)	(2,870.2)	(2,906.2)	(2,877.9)	(2,882.2)

Source: Department of Finance and Treasury